



Qualification Programme Examination Panelist's Report

Module 10 – Business and Company Law (June 2026 Session)

(The main purpose of the following report is to summarise candidates' common weaknesses and make recommendations to help future candidates improve their performance in the examination.)

(I) General Comments

This paper was three hours in duration and consisted of six questions. The marks allocation among the eight major topics was as follows:

1. Company Law: 35%
2. Law for Public Companies: 10%
3. Law of Contract: 15%
4. Consumer Law: 5%
5. Law of Employment: 10%
6. Law of Anti-Money Laundering and Prevention of Bribery & Corruption: 5%
7. Law of Agency: 10%
8. Law of Tort and Negligence: 10%

This paper was set on the syllabus prescribed by the HKICPA, which covers important topics on business and company law.

Candidates did well on popular topics and straightforward questions, such as consideration in contracts (Question 1(a)), summary dismissal (Question 2(a)), and different ways to create an agency relationship (Question 3(a)).

Some questions required candidates to demonstrate analytical skills and apply legal principles to case scenarios with reference to case law and/ or legislation. Stronger candidates demonstrated the analytical skills required for these questions, while weaker candidates failed to perform well on these questions. More details can be found in the specific comments below for Questions 1(b) and 5(c).

(II) Specific Comments

Question 1(a) – 5 Marks

This question required candidates to discuss the rule that consideration only needs to be sufficient but not adequate. As this question was a straightforward one, most candidates performed well in this question.



Question 1(b) – 5 Marks

This question required candidates to discuss the revocation of offer. The overall performance of the candidates was fair. Many candidates failed to identify the legal issue of revocation of offer, and some candidates only copied the scenario set out in the question without applying any analysis.

Question 1(c) – 5 Marks

This question required candidates to discuss past consideration. While some candidates demonstrated a clear understanding of this legal concept, some candidates mistakenly identified the issue as misrepresentation or wrongly applied the concept of promissory estoppel.

Question 2(a) – 5 Marks

This question required candidates to discuss summary dismissal. As this was a very straightforward question, most candidates performed well in this question, although a few candidates wrongly discussed common law duties owed by the employees to the employer.

Question 2(b) – 5 Marks

This question required candidates to discuss anti-corruption laws. This was a straightforward question, and most candidates performed well in this question, with the exception of a few candidates who misidentified the legal issue as money laundering.

Question 2(c) – 5 Marks

This question required candidates to discuss employee entitlement to long service payment under the Employment Ordinance (Cap.57). This was a simple question, and most candidates performed well in this question, although a few failed to complete all the requirements clearly, e.g. some simply stated "illness" without elaborating on "being certified as being permanently unfit for a particular type of work".

Question 3(a) – 4 Marks

This question required candidates to discuss the different ways to create an agency relationship. As this was a popular and very straightforward question, most candidates performed very well in this question.

Question 3(b) – 6 Marks

This question required candidates to discuss whether the employer's company is liable to pay for the car ordered by the employee without authority. The overall performance of the candidates was fair, with the exception of a few candidates who wrongly applied the concept of apparent authority.



Question 3(c) – 5 Marks

This question required candidates to discuss the rules regarding the passing of title and risk in the sale of goods. While most candidates correctly explained the relevant legal principle of "*nemo dat quod non habet*", some failed to apply the relevant exception to this principle under s.24 of the Sale of Goods Ordinance (Cap.26) in their answers.

Question 4(a) – 10 Marks

This question required candidates to discuss and analyse the legal issue of negligent misstatement. While many candidates correctly identified the legal issue, some wrongly identified the legal issue as negligence.

Question 4(b) – 15 Marks

This question required candidates to discuss the meaning of different kinds of charges and how they can be validly created. This question was rather straightforward, and the overall performance of most candidates was good, with the exception of a few candidates who wrote incorrect answers by discussing directors' roles and responsibilities.

Question 5(a) – 10 Marks

This question required candidates to discuss unfairly prejudicial conduct under the Companies Ordinance (Cap.622) (CO). While most candidates correctly identified the legal issues, not all of them applied the relevant sections under the CO and cited the relevant case law.

Question 5(b) – 3 Marks

This question required candidates to discuss the grounds for winding up a company under s.177(1) of the Companies (Winding Up and Miscellaneous Provisions) Ordinance (Cap.32). This was a very straightforward question and most candidates performed very well in this question.

Question 5(c) – 7 Marks

This question required candidates to discuss the law in respect of shareholders' petition to wind up a company on just and equitable grounds. It was noted that some candidates did not correctly identified the legal issue and applied the relevant case law.

Question 6(a) – 6 Marks

This question required candidates to discuss the obligation of shareholders of a listed company to disclose their interest in the shares of that company. Many candidates performed well in this question, although some candidates failed to identify the different disclosure obligations of directors/ CEOs and shareholders.



Question 6(b) – 4 Marks

This question required candidates to discuss the circumstances under which a shareholder of a listed company must disclose his/ her interest in that listed company. As this was a very straightforward question, most candidates did well in this question.

(II) Conclusion and Recommendation

Overall, candidates performed well on topics such as consideration in contracts, summary dismissal, and agency. However, it appears that many candidates may not have covered the syllabus in sufficient depth. Thus, many did not perform well on less frequently encountered topics such as "revocation of offer". More importantly, many candidates did not perform well on topics which involved more complicated legal analysis such as "unfairly prejudicial conduct". Candidates are required to give their analysis based on the given case scenario.

Candidates are reminded that this paper aims to cover all topics to test the candidates' ability to apply their legal knowledge in specific situations. As a result, candidates are advised to study all important business and company law topics and not focus only on two or three topics.

Some candidates showed difficulty in identifying the key issues of the questions. As a result, they appear to have chosen to write what they knew about the topic and thus failed to identify and discuss the specific issues of the questions. Candidates are reminded to apply the relevant legal principles to resolve the issues in the questions in order to score higher marks.

Most candidates completed all the questions of the paper within the prescribed time, although some candidates did not answer all parts of the questions. Candidates are reminded to make a reasonable attempt to questions.

As most of the topics in the syllabus, such as contract law and company law, are governed by case law as well as legislation, candidates are advised to study and apply both case law and legislation when answering questions.

Last but not least, candidates should also pay attention to time management. They should spend some time cursorily reading all questions before answering any questions and time themselves while answering questions.